PRC – 4
Introduction to Accounting

Financial Statement

Final Practice

Sir.

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Q.1 Following is the trial balance of Salman for the year ended 30 June 2014:

Rs. in '000

	Dr.		Cr.
Drawings	30,500	Salman's capital	300,000
Trade debtors	109,420	Creditors	104,724
Goodwill	20,000	Loan taken from bank	40,000
Interest on bank loan	800	Bad debts provision as on	
Cash in hand	4858	1 July 2013	900
Plant & machinery - WDV	45,000	Sales	353,300
Factory building - WDV	42,400	Interest received	11,930
Sales return	10,000	Bills payable	23,150
Cash at bank	13,512	Accrued expenses	3,460
Power and utility charges	6,500	Other income	3,100
Trade discount	2,432		
Purchases less returns	330,530		
Salaries and wages	40,400		
Rent and rates	6,992		
Insurance	2,000		
Advertisement	4,512		
Opening stock	127,762		
Carriage inward	10,420		
Bills receivable	32,526		
Total			

Additional information:

(i) On 1 July 2013 a machine was purchased for Rs. 500 thousand. However, this cost has wrongly been posted to the purchases account.

(ii) Salman's son works as the head of administration and received a salary of Rs. 150 thousand per month, which has been included in drawings.

(iii) Insurance premium was paid in advance to the extent of Rs. 650 thousand.

(iv) Depreciation is to be charged on written down value (WDV) as follows: Plant and Machinery is 10% and factory building is 5%

(v) Provision for bad debts is maintained at 2% of trade debtors.

(vi) Closing stock as on 30 June 2014 amounted to Rs. 237,500 thousand

Required:

Prepare statement of comprehensive income (Trading and Profit and Loss account) for the year ended 30 June 2014 and statement of financial position (Balance Sheet) as at 30 June 2014.

Q.2 Azam owns a retail outlet with the name Azam Auto parts Store. The trial balance as at 30 June 2015 is as follows:

	Debit. in Rs. 000	Credit. in Rs. 000
Shop equipment- net	5,880	
Motor vehicles- net	3,820	
Stock as at 1 July 2014	14,500	
Prepaid rent	2,000	
Bank	8,500	
Cash	50	
Bank loan		5,050
Creditors		2,500
Accrued expenses		60
Capital		27,883
Sales		131,943
Purchases	105,950	
Utility expenses	1,060	
Vehicle expenses	1,205	
Interest expenses	600	
Renovation expenses	5,500	
Salaries and wages	10,250	
Depreciation expenses	2,075	
Operating expenses	6,046	
Total	167,436	167,436

Additional information:

1. Closing stock as at 30 June 2015 was Rs. 24,090 thousand.
2. Depreciation on fixed assets is charged at the rate of 20% on reducing balance method.
3. Shop equipment was purchased on 1 July 2014 for Rs. 1,400 thousand. No depreciation has been charged on it.
4. Renovation expenses represent cost of fixtures purchased for the shop.
5. Rent is payable on yearly basis on 30 September. The expired rent till 30 September 2014 is included in operating expenses.
6. Bank loan was received on 1 July 2014. Interest payable for the month of June 2015 has been credited to the loan account.
7. Azam withdrew goods costing Rs. 4,000 thousand for personal use during the year.
   However, no entry was made to record the withdrawal of goods.
8. Operating expenses include annual payment of fire insurance for shop and personal expenses of Azam amounting to Rs. 725 thousand and Rs. 215 thousand. Fire insurance policy would expire on 30 November 2015.

Required:

Prepare statement of comprehensive income for the year ended 30 June 2015 and statement of financial position as at 30 June 2015.

Q 3 Following summarized trial balance as at 31 December 2015 pertains to Moon Trading (MT) who deals in office machines: Rs. In million

	Debit	Credit
Fixed assets at cost	150	
Accumulated depreciation		45
Trade debtors	200	
Provision for doubtful debts		6
Inventory	410	
Prepayments, advances and other receivables	9	
Cash and bank balances	5	
Capital		50
Bank loan		160
Trade creditors		320
Accruals and other payables		25
Sales revenue		2,840
Purchases	2,141	
Selling and administration expenses	540	
Interest on bank loan	8	
Bank charges	2.25	
Other income		15.25
Total	3,465.25	3,465.25

Additional information:

i. Inventory is valued under the FIFO method. Value of inventory as at 31 December 2015 amounted to Rs. 530 million.

ii. During stock taking, it was noted that:
- A photocopy machine appearing in inventory is being used in the office since 1 October 2015. The cost of the machine is Rs. 0.78 million.
- Four computers were found to be short. It was discovered that these computers costing Rs. 0.32 million had been issued for use by the proprietor's family members.
- Items costing Rs. 4.5 million were returned to a supplier on 31 December 2015. The return was recorded in January 2016.
- Items having invoice value of Rs. 2.4 million sold on credit were returned by a customer on 31 December 2015. A credit note was issued and recorded by MT on 12 January 2016. The profit margin on these items was 20% of cost.

iii. Depreciation is charged on all fixed assets at 20% per annum under the straight-line method.

iv. A recovery of Rs. 3.5 million against debts written off in prior years was credited to trade debtors. MT's policy is to provide doubtful debts at 3% on year-end balance.

v. Review of other income revealed the following information:
- Services for certain contracts amounting to Rs. 1.2 million were rendered in December 2015 but invoices thereof were processed in January 2016.
- On 1 August 2015, MT received an amount of Rs. 1.8 million as 50% advance against a maintenance contract covering the

period from 1 September 2015 to 31 May 2016 and was credited to other income. The balance amount would be paid on completion of the contract.

vi. Office supplies purchased during the year are directly debited to expenses. Unused office supplies at beginning and close of the year amounted to Rs. 0.45 million and Rs. 0.6 million respectively.

vii. The bank loan was acquired on 1 April 2015. The principal amount is repayable in five equal annual instalments on 31 March each year. Interest is payable at 10% per annum on six monthly basis and is recorded at the time of payment.

Required:

a) Prepare a statement of comprehensive income for the year ended 31 December 2015.

b) Prepare a statement of financial position as at 31 December 2015.

Q.4 Following is the summarized trial balance of Fortune Traders (FT) for the year ended 30 June 2016:

	Debit	Credit
	----- Rs. in '000 -----	
Buildings – cost	3,700	
Buildings - accumulated depreciation as at 1 July 2015		1,436
Plant and machinery – cost	6,650	
Plant and machinery - accumulated depreciation as at 1 July 2015		2,414
Stock-in-trade as at 1 July 2015	1,045	
Purchases	16,000	
Purchase returns		220
Sales		28,900
Sales returns	90	
Capital as at 1 July 2015		3,000
Selling and administration expenses	5,855	
12% loan payable		5,000
Trade receivables	3,600	
Provision for doubtful debts as at 1 July 2015		180
Prepayments and other receivables	380	
Trade and other payables		2,020
Cash and bank balances	5,850	
Total	43,170	43,170

Additional information:

i. FT depreciates its fixed assets from the month of addition. Depreciation is to be charged on written-down value (WDV) as follows:

Buildings	5%
Plant & machinery	10%

ii. Closing inventory was valued at Rs. 1,560,000. This included goods costing Rs. 35,000 returned by a customer on 30 June 2016 but not yet accounted for. These goods were earlier sold at cost plus 40%.

iii. The loan was acquired on 1 January 2016 and the principal amount is repayable in eight equal half yearly installments commencing from 1 January 2017. Interest is payable half yearly on 1 January and 1 July each year.

iv. Selling and administration expenses include:
   a. Fire insurance premium amounting to Rs. 430,000 and Rs. 240,000 paid for office and owner's personal premises respectively. The policies are valid up to 31 December 2016.
   b. Rent and salaries amounting to Rs. 137,000 and Rs. 89,000 respectively are to be accrued at 30 June 2016.

v. At 30 June 2016, the provision for doubtful debts is to be reduced by Rs. 30,000.

Required:

a) Prepare a statement of comprehensive income for the year ended 30 June 2016.

b) Prepare a statement of financial position as at 30 June 2016.

Q.5 Following is the summarised trial balance of Rainbow Lights (RL) for the year ended 31 December 2016:

	Debit.	Credit.
	Rs. in million	
Capital – 1 January 2016		100
Profit and loss account – 1 January 2016	30	
Drawings	50	
Fixed assets – cost	270	
Accumulated depreciation		150
Closing inventory	170	
Trade debtors	400	
Provision for doubtful debts		12
Prepayments and other receivables	45	
Cash and bank	20	
10% Long-term loan		120
Trade creditors		240
Accruals and other payables		28
Sales		750
Cost of sales	304	
Selling and administration expenses	146	
Financial charges	10	
Miscellaneous income		45
	1,445	1,445

Additional information:

(i) RL uses perpetual inventory method to record its inventory. During the physical inventory count carried out on 31 December 2016, following matters were noted:
- Inventory shortages amounted to Rs. 2 million which is considered to be normal.
- Goods costing Rs. 15 million were damaged in fire and have no sales value.
- Goods costing Rs. 1 million were withdrawn by the owner for his personal use but no adjustment was made in the books.
- Goods sold on credit for Rs. 7 million were returned but have not been accounted for. These goods were sold at cost plus 40%.

(ii) Goods sold on credit at a trade discount of 5% were recorded at gross amount of Rs. 20 million.
(iii) Rs. 2 million were recovered in full and final settlement of an old outstanding balance of Rs. 3 million which had been written-off last year. The amount recovered was credited to trade debtors account.
(iv) RL maintains a provision for doubtful debts at 3% of the year-end balance.
(v) Miscellaneous income includes Rs. 12 million received against an annual maintenance contract expiring on 30 April 2017.
(vi) Annual rent amounting to Rs. 24 million was paid in advance on 1 October 2016 and charged as an expense.
(vii) Long-term loan was acquired on 1 February 2016 and is repayable in 2020. Interest thereon is due semi-annually on 1 August and 1 February each year. Interest is charged to expenses at the time of payment.
(viii) Depreciation on fixed assets is charged at 15% per annum from the month of addition to the month prior to disposal using reducing balance method.

Required:

a) A statement of comprehensive income for the year ended 31 December 2016.
b) A statement of financial position as at 31 December 2016.

Q.6 Following is the summarised trial balance of Home Appliances (HA) for the year ended 30 June 2017:

	Dr.	Cr.
	Rs. In million	
Fixed assets – cost	35,000	
Accumulated depreciation – 1 July 2016		8,000
Inventory – 1 July 2016	8,200	
Trade receivables	11,500	
Provision for doubtful receivables – 1 July 2016		750
Prepayments and other receivables	2,350	
Cash and bank balances	1,300	
Capital	0	25,500
Drawings	4,500	
Trade payables		10,200
Accruals and other payables		5,310
Sales		101,120
Return inwards	3,000	
Purchases	70,000	
Wages and salaries	5,900	
Discounts	1,650	
Utility charges	2,350	
Carriage inwards	1,360	
Running and maintenance expenses	3,290	
Financial charges	590	
Miscellaneous income		110
	150,990	150,990

Additional information:

i. Cost of closing physical inventory was Rs. 9,000,000. However, goods returned by a credit customer on 30 June 2017 were received after completion of the count, therefore, not included in the inventory. These goods had been sold for Rs. 400,000 at cost plus 25%. However, the goods are damaged and can be sold at normal price after a repair cost of Rs. 90,000. The return has not yet been accounted for.

ii. HA maintains a 5% provision against trade receivables.

iii. Running and maintenance expenses totaling Rs. 110,000 were incurred in June 2017. Related invoices were received and accounted for in July 2017.

iv. HA depreciates its fixed assets at 20% per annum from the month of addition to the month prior to disposal using reducing balance method. There were no additions/disposals during the year except as mentioned above.

Required:

a) Prepare statement of profit or loss for the year ended 30 June 2017.

b) Prepare statement of financial position as at 30 June 2017

Q.7 Following is the trial balance of Tulip Enterprises (TE) for the year ended 31 December 2017:

Rs. In "000"

	Dr.		Cr.
Cash and bank balances	2,320	Trade payables	3,250
Trade receivables	4,400	Accruals and other payables	1,320
Stock-in-trade 31-12-2017	3,900	Provision for doubtful receivables	220
Prepayments and advances	1,740	Accumulated depreciation	4,630
Property, plant & equipment – cost	12,500	12% Long-term loan	5,150
Drawings	490	Capital	6,000
Cost of sales	23,580	Sales	35,230
Salaries and wages	2,610	Miscellaneous income	940
Fuel and power	450		
Bad debt expense	230		
Rent and insurance	2,900		
Repair and maintenance	920		
Financial charges	700		
	56,740		56,740

Additional information:

(i) While carrying out the physical inventory count at year-end, following matters were identified:

- Goods costing Rs. 1,000,000 were slightly defective. These can be sold for Rs. 1,130,000 after incurring a cost of Rs. 200,000.
- Goods costing Rs. 670,000 purchased on credit were returned to a supplier on 28 December 2017 but the return was not recorded in the books.

(ii) A machine costing Rs. 450,000 was received on 1 October 2017 against 100% advance payment. The advance has not yet been adjusted due to non-receipt of the invoice.

(iii) On 1 October 2017, 50% advance received for an annual maintenance contract of Rs. 480,000 was credited to miscellaneous income. Remaining amount would be received at the end of the contract. Services are rendered evenly throughout the contract period.

(iv) Maintenance services for Rs. 150,000 were rendered in December 2017 but income has been recorded in January 2018 on receipt of the amount.

(v) Interest on the loan is paid in arrears on 1 April and 1 October each year. Interest accrued for the quarter ended 31 December 2017 has been credited to loan account.

(vi) Rent and insurance include:
- annual insurance premium of Rs. 800,000 for the health policy arranged by TE for the department heads and the owner's family members. Premium pertaining to the owner's family members is Rs. 200,000. The policy is valid up to 30 June 2018.
- Rs. 1,200,000 paid against the annual rent agreement expiring on 31 August 2018. According to the rent agreement, the rent paid would not be refunded in case the building is vacated earlier.

(vii) TE maintains provision for doubtful receivables according to the age analysis of the outstanding balances. Relevant details are as under:

Trade receivables as on 31 December 2017

Age analysis	< 3 months	4 to 6 months	7 to 12 months	> 1 year	Total
Outstanding balances	1970	1000	900	530	4400
Provision required	-	5%	10%	20%	-

(viii) TE depreciates property, plant & equipment at 15% per annum on reducing balance method.

Required: Prepare the following:

a) Statement of profit or loss for the year ended 31 December 2017

b) Statement of financial position as at 31 December 2017

Q.8 Following is the trial balance of Sofia Trader (ST) for the year ended 30 June 2018:

	Dr. Rs. In "000"	Cr. Rs. In "000"
Equipment – cost	17,000	
Equipment - accumulated depreciation - 1 Jul 2017		4,800
Vehicles – cost	3,000	
Vehicles - accumulated depreciation - 1 Jul 2017		1,200
Inventory - 1 Jul 2017	5,500	
Trade receivables	5,350	
Provision for doubtful receivables		220
Prepaid insurance - 1 Jul 2017	140	
Advance	384	
Bank deposit (invested on 1 Feb 2017 at 7%)	1,400	
Cash and bank balances	620	
Capital		16,000

Drawings	352	
Trade payables		3,500
Accruals and other payables		1,520
Sales		32,350
Purchases	21,000	
Returns	950	750
Salaries and utilities	2,790	
Rent	1,000	
Discounts	270	220
Other expenses	480	
Insurance	300	
Bad debts	106	
Interest income on bank deposit		82
	60,642	60,642

Following further information is available:

i. Cost of closing physical inventory was Rs. 7,400,000. Inventory included goods costing Rs. 240,000 which were damaged in the warehouse. These goods can be sold for Rs. 250,000 after incurring a cost of Rs. 16,000.

ii. Rent includes payment of annual rent of Rs. 240,000 expiring on 30 November 2018 for owner's residence.

iii. Prepaid insurance represents premium which expired on 31 January 2018 while insurance represents annual premium which is expiring on 31 January 2019.

iv. On 29 June 2018, dishonoured cheque of Rs. 285,000 was returned by a bank. No entry has been made in the books for this return. This cheque was received from a customer net of 5% settlement discount.

v. ST maintains a 4% provision against trade receivables.

vi. ST paid Rs. 388,000 (net of 3% settlement discount) which was debited to supplier's account with the same amount.

vii. Advance represents 40% payment made for purchase of vehicle. Remaining balance would be paid in September 2018. No entry was passed when the vehicle was delivered on 1 June 2018.

viii. ST depreciates equipment and vehicles at 15% and 25% respectively using reducing balance method.

Required:

a) Prepare statement of profit or loss for the year ended 30 June 2018
b) Prepare statement of financial position as at 30 June 2018

Q.9 Following is the summarised trial balance of Qambar Enterprises (QE) for the year ended 31 December 2018: Rs. in '000'

	Dr.		Cr.
Furniture – cost	2535	Accumulated dep. at 1 Jan 2018:	
Vehicles – cost at 1 Jan 2018	4500	– Furniture	975
Inventories at 1 Jan 2018	4450	– Vehicles	1,450
Trade receivables	2,970	Capital at 1 Jan 2018	5,223
Office and sales supplies	210	12% Bank loan	1,500
Cash and bank balances	746	(obtained on 1 April 2018)	
Purchases	12,364	Trade payables	3,943
Returns	826	Sales	18,184
Salaries and commission	1,295	Other income	275
Rent and insurance	545		
Utilities and repairs	420		
Goods withdrawn	644		
Provision for doubtful receivables	45		
	31, 550		31,550

Additional information:

i. Inventories as at 31 December 2018 were valued at Rs. 3,860,000. Office and sales supplies costing Rs. 90,000 are still unused. However, 30% of these supplies are not usable due to deterioration in quality.

ii. Rent and insurance includes Rs. 75,000 paid for a photocopying machine. The machine was obtained on 1 November 2018 at a fixed rent of Rs. 75,000 per quarter and an additional Re. 0.40 for each copy. 40,000 copies have been made by QE up to 31 December 2018.

iii. QE received 5% discount on list price of goods purchased for cash which was credited to other income. List price of such purchases was Rs. 2,500,000.

iv. Cost of office repairs amounting to Rs. 85,000 was paid by the owner from personal cash

v. On 1 September 2018, a vehicle was invested into the business by the owner. The vehicle was purchased by the owner on 1 July 2015 for Rs. 1,050,000 and had a fair value of Rs. 960,000 on 1 September 2018.

vi. QE depreciates vehicles at 10% using straight line method while furniture is depreciated at 15% using reducing balance method. Cost of furniture includes an item of furniture purchased for Rs. 400,000 on 1 May 2018.

vii. Sales include Rs. 335,000 received from a customer though the related goods were dispatched on 5 January 2019.

viii. Trade receivables include Salman's balance of Rs. 370,000. It has been decided to set-off Rs. 100,000 payable by QE to Salman and make a specific provision of 30% against the remaining balance.

ix. A general provision of 4% of remaining trade receivables is maintained. Trade receivables amounting to Rs. 131,000 were written off and debited to provision for doubtful receivables during 2018.

Required:

a) Prepare statement of profit or loss for the year ended 31 December 2018

b) Prepare statement of financial position as at 31 December 2018.

Q.10 Following is the summarised trial balance of Delta Enterprises (DE), for the year ended 30 June 2019:

Rs. in '000

Description	Debit	Description	Credit
Property, plant and equipment	230,600	Capital	145,000
Inventory – 30 June 2019	67,800	Profit or loss – 1 July 2018	34,500
Cash and bank balances	4,600	12% Bank loan	90,000
Trade receivables	94,800	Accumulated depreciation	44,300
Prepayments	3,000	Trade payables	41,400
Other receivables	5,300	Sales revenue	487,800
Cost of sales	354,700	Other income	2,600
Selling expenses	29,400		
Administration expenses	25,900		
Depreciation	19,800		
Interest on bank loan	9,000		
Bank charges	700		
	845, 600		845, 600

Additional information:

i. Goods returned by a customer on 30 June 2019 were recorded on 1 July 2019. These goods had been sold on credit for Rs. 1,950,000 at cost plus 30%.

ii. On 1 October 2018, a printer was acquired on rent from Qazi & Co. The annual rent of Rs. 480,000 was paid in advance and debited to prepayments. However, the printer was purchased by DE on 1 April 2019 for Rs. 1,240,000. The payment net of rent adjustment was made in July 2019. The purchase has not been accounted for. DE depreciates office equipment at 20% using reducing balance method.

iii. DE allocates depreciation to selling and administration in the ratio of 4:6 respectively.

iv. Annual fire insurance premium of Rs. 4,500,000 was paid in advance on 1 January 2019 and debited to administration expenses. The payment also includes Rs. 1,350,000 pertaining to the owner's personal property.

v. Other income includes Rs. 900,000 collected on 1 April 2019 in respect of a service agreement for the six months ending 30 September 2019.

vi. An amount of Rs. 960,000 receivable on 1 August 2019 on completion of a service agreement for the six months ended 31 July 2019 has not been accounted for.

vii. 12% bank loan was acquired on 1 April 2018. The principal is repayable in ten equal yearly instalments commencing from 1 April 2019. Interest is payable on 1 October and 1 April each year.

Required:

a) Prepare statement of profit or loss for the year ended 30 June 2019.
b) Prepare statement of financial position as at 30 June 2019.

Q. 11. Following is the summarized balance of Omer Traders for the year ended 30 June 2021

Description	**Debit** In million	**Description**	**Credit** In million
Property plant and equipment	142.0	Accumulated depreciation as on	66.5
Inventory	89.6	Provision for doubtful	4.5
Trade debtors	42.0	Capital	99.4
Prepayments	9.0	Long term loan	55.4
Bank deposit account	40.0	Trade debtors	33.4
Bank current account	8.3	Accruals	9.4
Owner's drawing	17.8	Sales	397.6
Cost of sales	245.0		
Operating expenses	63.7		
Financial charges	8.8		
	666.2		**666.2**

Additional information

1. During the physical inventory count carried out on 30 June 2021, following matters were noted for which nothing has been recorded in the books
   i. Goods having cost and selling price of Rs. 4.2 million and Rs. 5.8 million respectively were withdrawn by the owner for his personal use.
   ii. Goods costing Rs. 14.0 million were found damaged and would be sold at 90% of purchase cost after incurring a rectification cost of Rs. 1.9 million.
   iii. Goods purchased on credit costing Rs. 3.5 million were returned to a supplier on 30 June 2021
2. A payment of Rs. 7.2 million being 40% amount of a yearly maintenance contract commenced from 1st October 2020, was included in prepayments remaining amount is payable on completion of contract.
3. The bank deposit account was opened on 1 October 2020 for 1.5 year at 12% per annum. interest is credited at every 6 months. Interest received was credited to sales.
4. The figure in the trial balance for the bank current account represent balance prior to the reconciliation with bank statement. Upon comparison with bank statement, it was discovered that:

a. cheque of Rs. 3.1 million deposited into bank were not credited.
b. As per standing instruction to the bank, quarterly office rent (till 31 August 2021) amounting to Rs. 4.2 million was debited.
c. Bank charges of Rs. 0.2 million were debited
d. A cheque of Rs.0.9 million was returned by bank as dishonoured. this cheque was received from a customer net of 10% settlement discount.

5. On 30 June 2021 fully depreciated assets costing Rs. 8.2 million with a residual value of Rs. 2.1 million were sold on credit for Rs. 2.6 million. No entry in this respect has been recorded in the books.
6. In addition to a specific provision of Rs. 3.9 million against trade debtors of Rs. 13 million. OT needs to maintain a general provision for doubtful debtors at 5% of the remaining closing debtor balance.

<u>Required</u>

a) Prepare statement of profit or loss for the year ended 30 June 2021.
b) Prepare statement of financial position as on 30 June 2021

Q.12. Following is the summarized trial balance of Vateen traders for the year ended 31 December 2020:

	Dr. (in million)	Cr. (in million)
Property, plant and equipment	32,500	
Accumulated depreciation at 31 December	-	8,750
Inventory at 1 January 2020	34,300	-
Trade receivables	36,800	-
Prepayments	780	-
Advances	240	-
Cash and bank balances	5,550	-
Capital	-	60,395
Drawings	8,480	-
14% Loan	-	17,500
Trade and other payables	-	28,740
Revenues	-	181,100
Purchases	149,800	-
Selling expenses	12,450	-
Distribution expenses	8,800	-
Administrative expenses	7,460	-
Rent income	-	1,125
Interest on bank overdraft	450	-
	297,610	297,610

Additional information:

i. Cost of closing inventory in hand on 31 December 2020 amounted to Rs. 46,300,000. Physical inventory count revealed that goods costing Rs. 950,000 were returned by a customer for which no entry has been made. These goods were sold for Rs. 1,300,000 on credit in last week of December 2020. VT determined that these goods are out of fashion and can be sold at 40% of original selling price

ii. During the year, goods having cost and selling price of Rs. 500,000 and Rs 800,000 were withdrawn by the owner for personal use but were not recorded.

iii. Prepayments represent fire insurance premium amounting to Rs. 480,000 and Rs.300,000 paid for office and owner's personal premises respectively. These annual policies are valid upto 31 March 2021.

iv. On 1 June 2020, a machine was given at a quarterly rent of Rs. 375,000, receivable in advance.

v. Advances represent three months' advance salary taken by a salesman on 1 November 2020

vi. The loan was acquired on 1 July 2020 and the entire principal along with interest is repayable on 30 November 2021.

vii. Depreciation of property, plant and equipment has been incorrectly calculated at 5% on reducing balance method instead of 10% on straight line method. The incorrect depreciation has been included in distribution expenses though depreciation should have been equally divided between selling and administrative expenses.

viii. A balance of Rs. 320,000 included in trade and other payables needs to be written back as it is no more payable.

ix. Cash and bank balances include bank overdraft of Rs. 1,490,000.

Required:

a) Prepare statement of profit or loss for the year ended 31 December 2020.

b) Prepare statement of financial position as at 31 December 2020.

Q.13

Following is the summarized trial balance of Velvet Traders (VT) for the year ended 31 December 2020:

	Debit	Credit
	-------- Rs. in '000	--------
Property, plant and equipment	97,500	
Accumulated depreciation at 1 January 2020	-	26,250
Inventory at 1 January 2020	102,900	-
Trade receivables	127,050	-
Prepayments	2,340	-
Other receivables	720	-
Cash and bank balances	-	14,600
Provision for doubtful receivables		4,890
Capital	-	133,930
Drawings	25,440	-
14% Loan	-	52,500
Trade and other payables	-	86,220
Revenues	-	543,300
Purchases	449,400	-
Selling and distribution expenses	33,750	-
Administrative expenses	22,380	-
Rent income	-	1,140
Interest on bank overdraft	1,350	-
	862,830	**862,830**

Additional information:

(i) Cost of closing inventory in hand on 31 December 2020 amounted to Rs. 92,600,000. Physical inventory count revealed that goods costing Rs. 2,850,000 were returned by a credit customer for which no entry has been made. These goods were sold for Rs. 3,300,000 on credit in last week of December 2020. VT determined that these goods are out of fashion and can be sold at 70% of original selling price and after incurring cost to sell of Rs. 240,000.

(ii) Prepayments includes fire insurance premium Rs. 1,800,000 for sales offices. The annual policy is valid upto 31 May 2021.

(iii) On 1 June 2020, a machine was given at a quarterly rent of Rs. 570,000 receivable in arrears.

(iv) The loan was acquired on 1 March 2020 and the principal is payable in six equal annual portion alongwith interest on 28 February of each year.

(v) Depreciation of property, plant and equipment is charged at 10% on reducing balance method. Property, plant and equipment includes an item costing Rs. 18,000,000 purchased on 1 August 2020.

(vi) Cash and bank balances include cash in hand of Rs. 1,490,000.

(vii) It is decided that a receivable of Rs. 1,200,000 should be written off, and that the allowance for doubtful debts should be decreased to Rs. 4,500,000. Bad and doubtful expenses should be included in administrative expenses.

Required:

(a) Prepare statement of profit or loss for the year ended 31 December 2020.

(b) Prepare statement of financial position as at 31 December 2020.